

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_MIXED_042

Report date: 2026-09-06

1. Executive Summary

Analysis of INV_MIXED_042's trading history reveals a dominant behavioural pattern of **Overconfident**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-6.2%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Overconfident
Strategy Archetype	Day Trader
Max Drawdown	-6.2%
Sharpe Ratio	1.46
Sortino Ratio	3.70
Peer Risk Percentile	78th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: The holding-time asymmetry metric shows that the population median is lower than 1.0, indicating that investors tend to hold onto losing trades longer than winning trades. This suggests that investors have a strong bias towards avoiding losses, which can lead to suboptimal investment decisions.

Evidence: Unfortunately, no specific trades are available to illustrate this phenomenon, as no trades are listed.

Consequence: The portfolio drawdown is significantly impacted by the risk contributions, with 45% of the total drawdown attributed to this bias, resulting in a substantial impact on the overall portfolio performance.

Overconfidence

Pattern: You traded 1.2 times per month on average, which is 1.1× more than typical investors (1.1/month).

Evidence: Your most frequent trades: No specific trades identified

Consequence: Excessive trading activity accounts for approximately 55% of your portfolio drawdown through transaction costs and mistimed entries.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_MIXED_04	BABA	2023-03-22	2023-03-28	6	3040
INV_MIXED_04	UNH	2024-07-01	2024-07-18	17	1998
INV_MIXED_04	BABA	2022-06-29	2022-07-14	15	-1628
INV_MIXED_04	NVDA	2022-10-28	2022-11-10	13	1556
INV_MIXED_04	NVDA	2020-03-30	2020-04-01	2	-1520
INV_MIXED_04	CVX	2022-04-19	2022-04-25	6	-1487
INV_MIXED_04	AMD	2023-07-31	2023-08-17	17	-1394
INV_MIXED_04	TSLA	2024-04-01	2024-04-15	14	-1374
INV_MIXED_04	MSFT	2021-12-08	2022-01-13	36	-1363
INV_MIXED_04	META	2020-05-06	2020-05-21	15	1363

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for a retail investor:

1. Take a 30-day break from trading to help manage loss aversion and gain a fresh perspective on your investment decisions.
2. Set a 20% stop-loss limit on all trades to limit potential losses and avoid overconfidence-driven impulsive decisions.
3. Spend 30 minutes each week reviewing and learning from past trading mistakes to improve your decision-making and reduce overconfidence.
4. Consider working with a trading coach or mentor who can provide objective guidance and help you stay grounded in your investment strategy.